



# FUEL WATCH

POLESTAR INSIGHTS

REPORTING PERIOD: 19 MAY 2026 - 25 MAY 2026

## EXECUTIVE SUMMARY

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Fuel risk this week is mainly about cost and continuity rather than a single dramatic event. The pressure came from shortage, price increase and transport disruption. Iran saw the most activity, with more reported from India and Pakistan. Operating pressure right now reads as high.

Cost indicators are holding above easy-budget levels, and the incident picture adds operational stress - shortages, forecourt disruption, subsidy moves and route pressure where they appear - rather than relief.

For business users, the headline is straightforward: protect fuel-dependent operations from short-notice price or availability shocks. That means live attention to fuel stock cover, generator runtime, road transport exposure and supplier resilience while this picture holds.

## FAST FACTS

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### BRENT CRUDE

**72.19 USD/bbl**

-2.1% 7d

ICE Brent front-month (Yahoo Finance)

As of 1 Jul 2026

### WTI CRUDE

**68.76 USD/bbl**

-2.2% 7d

NYMEX WTI front-month (Yahoo Finance)

As of 1 Jul 2026

### JET FUEL

**2.712 USD/gal**

-4.7% 7d

U.S. Gulf Coast kerosene-type - EIA / FRED

As of 22 Jun 2026

## JET FUEL PRICE TRAJECTORY

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Jet fuel latest available 22 Jun 2026 (weekly EIA U.S. Gulf Coast series); Brent and WTI run to 1 Jul 2026 (the period end).

## MARKET READ

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Brent is sitting around 72.19 USD/bbl and WTI around 68.76 USD/bbl, which puts the crude complex in steady territory rather than a transient spike. The jet fuel series is easing over the period, with the latest figure at 2.712 USD/gal versus 2.974 at the start (-8.8%).

Taken together, this points to sustained cost pressure rather than a one-off move. Fuel-linked costs rarely stay isolated; they feed into freight rates, generator running costs, staff movement and supplier pricing - so treat these market indicators as the cost floor for the decisions that follow.

## SITUATION

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Fuel cost is holding above easy-budget levels while availability and policy pressure remain live downstream. This matters because cost pressure and availability pressure are showing up together right now, which is when contract economics and operational continuity stop being separate concerns. Iran is the country carrying the most weight.

## WHAT HAPPENED

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Reporting was led by shortage, price increase and transport disruption concentrated on Iran, with secondary reporting from India and Pakistan. Operating pressure right now reads as high.

## OPERATIONAL READ

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The main themes right now are chokepoint pressure and tanker-route disruption; shortages, rationing and forecourt disruption; pump and surcharge pricing pressure. Dependent fuel movement is forced onto longer, costlier routes even when the underlying barrels are still available.

Watch for fresh advisories, vessel reroutes and any naval movement that signals escalation. Watch for rationing rules, allocation cuts to commercial users and convoy or queue management announcements. India, Iran, Pakistan carry the most activity this week.

## REGIONAL HIGHLIGHTS

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India is the clearest pressure point right now. Recent activity points to shortages, rationing and forecourt disruption. Pump-price moves, forecourt disruption and transport cost are where this lands first; local movement and distribution economics absorb the shock before the published headline catches up. Watch for state-level fuel-tax changes, fresh forecourt or rationing reports and any operator-side surcharge announcements on road and rail.

Iran is a secondary but credible concern. Recent activity points to chokepoint pressure and tanker-route disruption. Route pressure on Hormuz, Bab-el-Mandeb or the Red Sea feeds straight into bunker cost, transit time and war-risk premium. Watch for fresh advisories, vessel reroutes and any naval movement that signals escalation.

Pakistan adds further weight to the picture. Recent activity points to chokepoint pressure and tanker-route disruption. Availability, pricing and power resilience are the main pressure points here; fuel for generators, freight and field operations is where it bites first, well before it shows up in the wider economy. Watch for load-shedding patterns, depot-stock advisories and any government action on fuel pricing or commercial allocation.

## PRODUCER AND BUYER ACTIONS

| ACTOR                      | CATEGORY                        | ACTION                                                                                                                      | OPERATIONAL READ                                                                                                                        |
|----------------------------|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| <b>ADNOC</b>               | Producer action                 | ADNOC CEO Says Hormuz Oil Flows May Not Fully Recover Before 2027<br>21 May 2026                                            | Supply-side move with read-through to bunker, jet and downstream pricing if the action sustains.                                        |
| <b>easyJet</b>             | Buyer action                    | Jet fuel shortage: All the airlines cancelling flights as easyJet and Jet2 issue updates<br>22 May 2026                     | Aviation demand response: carriers trimming capacity signal jet-fuel cost or availability stress feeding straight into route economics. |
| <b>Government / policy</b> | Government / policy action      | Australian government plans for 'worst-case scenario' retail fuel rationing, documents reveal<br>22 May 2026                | Rationing or allocation controls confirm a physical shortage; commercial offtake is restricted before pump prices fully adjust.         |
| <b>Reliance</b>            | Government / policy action      | Parliamentary caucus warns against using fuel levy as revenue measure<br>22 May 2026                                        | Policy reset: review pump-price exposure and contract pass-through clauses before the next billing cycle.                               |
| <b>Government / policy</b> | Government / policy action      | Hub fixes Iranian petrol price at Rs250 per litre<br>21 May 2026                                                            | Policy intervention resets pump-price and surcharge exposure for the next contract cycle.                                               |
| <b>ADNOC</b>               | Infrastructure / routing action | New UAE Pipeline Bypassing Hormuz Now 50% Complete, ADNOC CEO Says<br>20 May 2026                                           | Logistics rerouting raises bunker and transit cost on dependent fuel flows.                                                             |
| <b>Market</b>              | Market / supply signal          | Pacific leaders warned of 'prolonged' fuel crisis as new plan endorsed - Australian Broadcasting Corporation<br>22 May 2026 | Supply resuming eases the local shortage; pump-price and surcharge pressure should soften as availability normalises.                   |
| <b>Market</b>              | Market / supply signal          | Jet fuel fears recede, but air cargo settles into a higher-cost era<br>20 May 2026                                          | Supply resuming eases the local shortage; pump-price and surcharge pressure should soften as availability normalises.                   |

## WHAT MATTERS

Elevated crude and a jet fuel series that is not retreating tell the cost side of the story: fuel-linked invoices stay heavy. The incident picture then tells the availability side: shortages, rationing and route pressure are the points where price stops being the only problem and physical access becomes the issue. Exposure to Iran is the live pressure point for fleet, generator and field operations.



Where the two reinforce each other - high prices meeting tight supply or chokepoint disruption - the operational impact compounds. Freight rates lift, surcharge clauses fire, generator runtime decisions get made on tighter stocks, and supplier conversations turn into renegotiations rather than confirmations. That is the picture worth planning against now.

## IMPLICATIONS FOR BUSINESS

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- Revisit contract pricing on bulk fuel and surcharge pass-through clauses in freight and logistics agreements before the next billing cycle reprices them.
- Forward-cover the bulk and aviation fuel lines you depend on rather than waiting for the spot move to be confirmed.
- Check on-site fuel stock cover and generator runtime assumptions, and pull commercial-allocation conversations forward with suppliers.
- Agree escalation triggers in advance - queues, allocation cuts, station closures - so mitigations fire automatically rather than after the fact.

## WATCH NEXT

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- Subsidy or levy decisions - a single gazette notice can reset pump price and contract economics overnight.
- Rationing or forecourt disruption - queue formation, allocation cuts or station closures are the fastest operational tells.
- Refinery outages or force-majeure declarations - these feed into crack spreads and downstream pricing within days.
- Tanker and route disruption - fresh Gulf, Hormuz or Red Sea advisories, naval movement or vessel reroutes shift war-risk premium and transit time.
- Generator fuel availability - diesel and LPG stock cover at high-fuel-use sites is the continuity tell when forecourts tighten.

## POLESTAR VIEW

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Fuel Watch is flagging a cost-and-continuity risk right now, not simply a rise in fuel headlines. The market indicators show elevated fuel costs holding rather than easing, while the incident picture shows operational stress around shortages, route pressure and policy intervention. For business users, the priority is to protect movement, backup power and fuel-dependent operations from short-notice price or availability shocks. Iran is the clearest country pressure point, with the rest of the picture filled in by India and Pakistan.

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